

UniCredit – Banco BPM M&A Analysis

Part I: Bank Balance Sheet

Compliance with ECB Reserve Requirements

Banco BPM satisfies the ECB reserve requirements, as its cash and cash equivalents exceed the minimum reserve threshold imposed by the European Central Bank. Maintaining adequate reserve levels is essential to preserve liquidity, ensure short-term financial stability, and protect the institution against unexpected deposit withdrawals or funding disruptions.

In a scenario where Banco BPM failed to meet the reserve requirement, the bank could adopt several alternative liquidity management strategies, each associated with different financial, operational, and reputational implications.

One possible solution would involve borrowing funds from other financial institutions or issuing Certificates of Deposit (CDs). While this approach could provide immediate liquidity support, it would expose the bank to higher funding costs due to the interest rates charged by lenders. Furthermore, during periods of market stress or reduced interbank liquidity, access to external funding could become significantly more limited and expensive.

Another alternative would consist of borrowing directly from the ECB through central bank liquidity facilities. Although ECB financing would improve short-term liquidity conditions, excessive reliance on central bank funding could negatively affect investor confidence and signal financial weakness to the market.

Banco BPM could also improve liquidity by selling securities and depositing the proceeds with the ECB. However, this strategy may generate transaction costs and commissions that would reduce portfolio returns. In addition, if securities need to be liquidated rapidly during distressed market conditions, the bank may be forced to sell assets at fire-sale prices, generating capital losses and negatively affecting profitability.

A further option would involve reducing the loan portfolio through loan sales. While this would immediately strengthen liquidity conditions, it could weaken long-term borrower relationships and reduce customer confidence. Moreover, loans sold during stressed market conditions are often transferred at discounted prices, leading to lower future interest income and negatively affecting long-term profitability.

Overall, the analysis highlights the importance of maintaining adequate reserve buffers, as emergency liquidity solutions generally involve significant financial and operational costs.

Comparative Financial Performance

The comparative analysis between Banco BPM and UniCredit highlights significant differences in profitability, operational efficiency, and overall financial performance.

UniCredit demonstrates stronger profitability metrics across all major indicators. Specifically, UniCredit reports a Return on Assets (ROA) of 1.21%, compared to Banco BPM's 0.63%, indicating a superior ability to generate earnings from total assets. Similarly, UniCredit's Return on Equity (ROE) of 14.84% significantly exceeds Banco BPM's 9.01%, suggesting more efficient utilization of shareholders' capital and stronger value creation for investors.

The analysis also reveals notable differences in operating profitability. UniCredit achieves a profit margin of 39.87%, substantially higher than Banco BPM's 23.67%, indicating stronger cost control and more efficient revenue generation capabilities. Higher profitability margins also improve the bank's ability to absorb unexpected losses and strengthen internal capital generation.

In terms of asset utilization, UniCredit again outperforms Banco BPM, with a ratio of 3.04% compared to 2.64%. This indicates that UniCredit generates higher revenues relative to the size of its asset base, reflecting greater efficiency in asset allocation and income generation activities.

Additionally, UniCredit appears to maintain stronger operational discipline through lower loan-loss provisions and lower non-interest expenses relative to profitability. This contributes to a more resilient earnings profile and enhances the institution's ability to withstand adverse market conditions.

Overall, the financial analysis suggests that UniCredit enters the potential merger from a stronger financial position, characterized by higher profitability, stronger operational efficiency, and greater earnings resilience compared to Banco BPM.

Impact of Loan Defaults on Net Worth

A deterioration in loan quality would negatively affect the financial position of both institutions through reductions in asset values and shareholders' equity.

In a distress scenario where part of the loan portfolio becomes impaired or non-performing, total asset values decline as banks are required to recognize losses on their credit exposures. These losses directly reduce net worth, since shareholders' equity acts as a financial buffer designed to absorb unexpected credit losses and protect the institution from insolvency.

The analysis indicates that Banco BPM would experience a more severe impact due to its higher proportion of non-performing loans relative to UniCredit. Specifically, Banco BPM reports a non-performing loan ratio of 8%, compared to UniCredit's 6%, resulting in a larger reduction in net worth under stressed conditions.

By contrast, UniCredit appears more resilient due to its stronger profitability, larger capital base, and lower relative exposure to distressed loans. Nevertheless, both institutions remain exposed to credit risk deterioration in adverse economic environments.

The results emphasize the importance of effective credit risk management policies, including stricter lending standards, enhanced borrower monitoring, diversification of loan exposures, and adequate

capital reserve accumulation. Strengthening these mechanisms is essential to reduce the probability of large-scale loan defaults and preserve long-term financial stability.

Strategies to Achieve the Target Equity Multiplier

The equity multiplier represents a key leverage indicator measuring the relationship between total assets and shareholders' equity. Increasing the equity multiplier may enhance Return on Equity (ROE), although higher leverage also increases financial risk exposure and vulnerability to adverse market conditions.

To increase the target equity multiplier, the merged entity could adopt several capital structure strategies.

One possible approach would involve increasing total assets through additional debt financing. The bank could issue new liabilities and allocate the proceeds toward additional lending activities or securities investments. This strategy would increase leverage and potentially improve profitability through a larger base of income-generating assets.

Alternatively, the bank could reduce equity levels through share buybacks or dividend distributions financed by retained earnings. By reducing the equity base while maintaining the same level of assets, the equity multiplier would mechanically increase.

However, both strategies involve important trade-offs. Excessive leverage may increase exposure to liquidity shocks, credit losses, and regulatory capital constraints. Consequently, the merged institution would need to balance profitability objectives with financial stability considerations and prudential regulatory requirements.

Market Power in the Italian Banking Sector

The proposed merger between UniCredit and Banco BPM reflects the broader consolidation trend currently affecting the European banking industry, where institutions seek greater scale, operational efficiency, and stronger competitive positioning in increasingly challenging market environments.

From a strategic perspective, the transaction would significantly strengthen UniCredit's position within the Italian banking sector. Post-merger, UniCredit could potentially surpass Intesa Sanpaolo in terms of market capitalization, substantially reshaping the competitive structure of the domestic banking market.

The merger would likely increase market concentration, contributing to the formation of a dominant duopoly between UniCredit and Intesa Sanpaolo relative to smaller domestic competitors. Greater concentration could improve economies of scale, strengthen pricing power, enhance operational synergies, and increase cost efficiency across the merged institution.

At the same time, higher market concentration could generate regulatory concerns regarding reduced competition, systemic risk, and financial stability. Antitrust authorities would likely evaluate the transaction carefully to ensure that the merger does not excessively reduce market competitiveness or create institutions considered "too big to fail."

The analysis therefore highlights the trade-off between strategic growth opportunities and the potential regulatory and systemic implications associated with large-scale banking consolidation.

Part II: Interest Rate Risk

Analyzing interest rate risk within the context of the proposed UniCredit–Banco BPM merger provides important insights into the balance sheet structure, earnings sensitivity, and overall financial stability of both institutions. Given the interest-rate-sensitive nature of banking activities, changes in monetary policy and market interest rates can significantly affect asset valuations, funding costs, profitability, and ultimately shareholders' equity.

To evaluate this exposure, the analysis focuses on the leverage-adjusted duration gap, a key banking risk metric measuring the sensitivity of a bank's equity value to fluctuations in interest rates. The duration gap compares the weighted average duration of assets and liabilities while incorporating the effect of financial leverage. A positive d. gap indicates that assets are more sensitive to interest rate movements than liabilities, exposing the institution to declines in equity value when interest rates increase.

The results show that UniCredit reports a leverage-adjusted duration gap of 7.064 years, slightly higher than Banco BPM's 6.841 years. These relatively similar values suggest that both institutions maintain comparable balance sheet structures and exhibit similar sensitivity to interest rate changes. From a merger integration perspective, this reduces potential mismatches between the two banks' asset-liability management frameworks and may simplify post-merger balance sheet coordination.

However, the analysis also highlights that both institutions remain significantly exposed to interest rate volatility due to the relatively high duration gaps observed. In particular, the larger the duration gap, the greater the sensitivity of the bank's net worth to changes in market interest rates. This exposure becomes particularly relevant in periods of restrictive monetary policy, rising funding costs, or rapid repricing across fixed-income markets.

The duration analysis further suggests that UniCredit maintains a slightly more aggressive maturity profile relative to Banco BPM. UniCredit reports an asset duration of 8.067 years compared to 8.324 years for Banco BPM, while liability durations remain significantly shorter for both institutions. This maturity mismatch reflects the traditional banking model, where long-term assets such as loans are financed through shorter-term liabilities including deposits and wholesale funding.

Because asset durations exceed liability durations, an increase in interest rates would reduce the market value of assets more rapidly than liabilities, generating a decline in shareholders' equity. Conversely, a reduction in interest rates would increase the value of both assets and liabilities, although the positive effect on assets would be stronger due to their longer duration profile.

The stress-testing results confirm this relationship. Under an interest rate increase scenario, both institutions experience a reduction in equity value due to negative repricing effects on the asset side of the balance sheet. UniCredit appears more exposed to these movements because of its larger asset base and slightly higher leverage-adjusted duration gap. By contrast, under a declining interest rate scenario, both banks benefit from an increase in equity value, again with UniCredit experiencing larger absolute variations due to its greater scale and duration exposure.

From a strategic perspective, elevated interest rate sensitivity represents a relevant consideration for the proposed merger. While higher duration exposure may enhance profitability during favorable market conditions, it also increases vulnerability to monetary tightening cycles and market volatility.

Consequently, the merged institution would need to carefully manage interest rate exposure through effective asset-liability management policies, duration hedging strategies, liquidity management, and balance sheet diversification.

Overall, the analysis suggests that the two banks maintain relatively aligned interest rate risk profiles, potentially supporting smoother post-merger integration from a treasury and balance sheet management perspective. Nevertheless, the relatively high leverage-adjusted duration gaps observed for both institutions indicate that interest rate risk would remain a critical area of attention for management, regulators, and investors, particularly in an environment characterized by uncertain monetary policy dynamics and volatile interest rate expectations.

Part III: Liquidity Risk

Impact of Forced Liquidation on Banco BPM's Liquidity Position

Liquidity risk represents one of the most critical vulnerabilities for banking institutions, particularly during periods of financial distress or sudden depositor withdrawals. Unlike solvency risk, which primarily concerns the long-term adequacy of capital, liquidity risk focuses on the institution's ability to meet short-term obligations without generating excessive losses or destabilizing the balance sheet.

The analysis of Banco BPM highlights the potential consequences of a stress scenario characterized by sudden and unforeseen deposit withdrawals. Although the bank maintains a liquidity buffer through cash and cash equivalents, these reserves alone would not be sufficient to fully absorb a large-scale bank run scenario. Consequently, Banco BPM could be forced to liquidate part of its asset portfolio to generate additional liquidity.

The timing of asset liquidation plays a fundamental role in determining the severity of the liquidity shock. If the bank were required to liquidate assets within a very short time horizon, such as three days, securities and financial assets would likely need to be sold at significant discounts relative to their market value. These fire-sale conditions would substantially reduce the amount of liquidity generated and expose the bank to valuation losses, further weakening the balance sheet and increasing financial instability.

If the liquidation horizon were extended to five days, Banco BPM would likely be able to dispose of assets at more favorable prices, reducing discounts and improving liquidity generation. Nevertheless, the analysis suggests that even under this scenario the bank could still face a liquidity shortfall relative to total withdrawal demands.

A longer liquidation horizon of approximately one week would improve conditions further, allowing the bank to sell assets closer to fair market value and maximize liquidity recovery. However, despite the improved asset pricing environment, the analysis indicates that Banco BPM could still struggle to fully satisfy all withdrawal requests exclusively through asset disposals.

These results highlight an important structural characteristic of banking institutions: a significant portion of assets is generally invested in medium- and long-term instruments, while liabilities, particularly customer deposits, remain short-term and potentially withdrawable on demand. This maturity transformation generates profitability under normal conditions but creates liquidity vulnerabilities during stressed scenarios.

An alternative strategy would involve obtaining external funding through interbank markets or other financing facilities in order to avoid forced asset sales. Borrowing would allow the bank to preserve portfolio values and reduce fire-sale losses. However, during periods of financial stress, market funding often becomes more expensive and less accessible due to deteriorating investor confidence and tighter liquidity conditions across financial markets.

From a broader strategic perspective, the analysis demonstrates how liquidity management represents a key component of banking stability. Institutions must maintain an appropriate balance between profitability and liquidity preservation, as excessive investment in illiquid assets may enhance returns during normal market conditions while simultaneously increasing vulnerability during periods of market stress.

Liquidity Risk Metrics

The liquidity position of both Banco BPM and UniCredit can be further assessed through two key regulatory indicators introduced under the Basel III framework: the Liquidity Coverage Ratio (LCR) and the Net Stable Funding Ratio (NSFR).

The Liquidity Coverage Ratio measures a bank's ability to withstand short-term liquidity shocks by comparing high-quality liquid assets to expected net cash outflows over a 30-day stress scenario. Regulatory requirements impose a minimum LCR threshold of 100%, ensuring that banks maintain sufficient liquidity buffers to survive temporary market disruptions.

Both Banco BPM and UniCredit report LCR values above the regulatory minimum, indicating that both institutions are capable of covering short-term cash outflows and reducing the probability of immediate liquidity distress or default risk.

However, Banco BPM reports an LCR exceeding 150%, significantly above the regulatory requirement. While this reflects a highly conservative liquidity position and strong short-term resilience, it may also indicate inefficient capital allocation. Holding excessive amounts of highly liquid assets generally reduces profitability, as liquid assets tend to generate lower returns compared to loans, longer-duration securities, or other higher-yield investments.

Consequently, while elevated liquidity buffers strengthen financial stability, they may simultaneously reduce overall earnings potential and negatively affect return on assets and return on equity.

The Net Stable Funding Ratio evaluates the long-term stability of a bank's funding structure by comparing available stable funding to required stable funding over a one-year horizon. Both Banco BPM and UniCredit report NSFR values close to 130%, indicating strong long-term liquidity profiles and relatively low dependence on unstable short-term funding sources.

These results suggest that both institutions maintain a solid funding structure capable of supporting long-term assets and absorbing periods of market instability. Nevertheless, excessively high NSFR levels may also indicate an overly conservative balance sheet structure that could limit growth opportunities and reduce profitability.

From a strategic perspective, maintaining liquidity ratios moderately above regulatory requirements may represent a more efficient balance between financial stability and profitability optimization. Ratios in the range of approximately 110%–120% could potentially allow banks to deploy capital more efficiently while still preserving adequate protection against liquidity shocks.

Overall, the analysis suggests that both Banco BPM and UniCredit maintain strong liquidity positions and relatively resilient funding structures. However, the findings also highlight the trade-off between liquidity preservation, profitability, and balance sheet efficiency, a critical consideration for management and regulators in the context of a potential merger transaction.